FAMILIARISATION PROGRAMMES FOR INDEPENDENT DIRECTORS

FOR ASTONEA LABS LIMITED

CIN:L24304CH2017PLC041482

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FAMILIARIZATION PROGRAM FOR INDEPENDENT DIRECTORS

(In compliance with Regulation 25(7) and Schedule IV of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015)

1. PREAMBLE

The Board of Directors of **Astonea Labs Limited** recognizes that the effectiveness of the Board and its committees depends on the knowledge, skills, and informed judgment of its Independent Directors. In line with the principles of good corporate governance, the Company is committed to ensuring that its Independent Directors are fully familiarized with its business, operations, regulatory environment, and governance framework.

This **Familiarization Program ("Program")** has been designed to provide Independent Directors with a comprehensive understanding of the Company and to equip them with the knowledge required to fulfill their roles effectively.

2. OBJECTIVES OF THE PROGRAM

The Program aims to enable Independent Directors to:

1. **Understand the Company's Business and Operations**

- Gain insight into the Company's business model, operational processes, product and service portfolio, key markets, and industry dynamics.
- Comprehend the Company's financial performance, reporting framework, and key performance metrics.

2. **Contribute Effectively to the Board and its Committees**

- Participate meaningfully in Board and committee deliberations, bringing independent judgment to strategic, operational, financial, and risk-related matters.
- Support management in decision-making processes through informed oversight and constructive guidance.

3. **Discharge Statutory and Fiduciary Duties Responsibly**

- Understand the legal, regulatory, and governance obligations of directors under the Companies Act, 2013, SEBI Listing Regulations, and other applicable laws.
- Ensure ethical conduct, protect stakeholder interests, and uphold high standards of integrity and accountability.

3. AREAS OF FAMILIARIZATION

Company Overview

1. Vision, Mission, and Values

- **Vision:** Articulation of the company's long-term strategic aspirations, serving as a compass for growth, innovation, and market positioning.

- **Mission:** Definition of the company's core purpose and scope of operations, emphasizing the value proposition delivered to stakeholders.
- **Values:** Codified principles guiding ethical behavior, corporate culture, decision-making standards, and sustainable business practices.

2. Business Model and Operations

- Comprehensive exposition of how the company generates revenue, including supply chain architecture, operational workflows, and key revenue streams.
- Analysis of operational efficiency, scalability, and resource allocation to support strategic objectives.
- Evaluation of customer acquisition, retention strategies, and competitive positioning within industry verticals.

3. Organization Structure, Subsidiaries, and Joint Ventures

- Detailed mapping of corporate governance structure, delineating hierarchical reporting lines and authority matrices.
- Functional responsibilities of subsidiaries and joint ventures, including the scope of autonomy, oversight mechanisms, and performance integration.
- Assessment of intercompany governance controls, financial consolidation, and risk-sharing arrangements.

4. Key Products, Services, and Markets

- In-depth profile of core products and service lines, including lifecycle stage, market relevance, and innovation trajectory.
- Identification of domestic and global market penetration, customer demographics, and competitive differentiation.
- Strategic analysis of growth opportunities, emerging markets, and potential business risks.

5. Orientation Activities

- Immersive site visits to operational units to facilitate experiential understanding of workflows, challenges, and management practices.
- Formal introductions to senior leadership teams to establish communication channels and executive rapport.
- Structured workshops or presentations covering recent technological advancements, product launches, and industry developments.

Corporate Governance and Compliance

1. Role, Duties, and Responsibilities under Companies Act, 2013

- Statutory obligations of directors, emphasizing fiduciary duty, duty of care, and accountability toward shareholders and other stakeholders.
- Legal ramifications for non-compliance, including civil and criminal liabilities, and exposure to regulatory scrutiny.
- Ethical decision-making framework aligned with statutory mandates and corporate policy.

2. SEBI LODR Requirements

- Compliance obligations under the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements), including timely disclosure of material events.
- Monitoring and reporting frameworks for corporate governance compliance, financial reporting, and shareholder communication.
- Insider trading and related-party transaction regulations, including protocols for reporting, approval, and monitoring.

3. Code of Conduct for Board and Senior Management

- Guidelines for ethical behavior, integrity, and professional conduct at the board and executive levels.
- Standards for conflict-of-interest identification, disclosure, and mitigation.
- Policies governing gifts, hospitality, and interactions with external parties to preserve corporate reputation and legal compliance.

4. Vigil Mechanism / Whistleblower Policy

- Confidential and secure channels for reporting suspected unethical or illegal activities.
- Mechanisms to protect whistleblowers from retaliation while ensuring impartial investigation and remediation.
- Oversight processes to review complaints, monitor investigation outcomes, and implement preventive measures.

5. Training & Updates

- Periodic professional development sessions on regulatory amendments, corporate governance best practices, and emerging industry standards.
- Engagement with legal and compliance experts to enhance directors' awareness of evolving obligations and strategic implications.

Financial and Performance Matters

1. Financial Statements, Reporting Formats, and Key Financial Ratios

- Comprehension of comprehensive financial statements, including balance sheets, profit and loss accounts, and cash flow statements.
- Interpretation of key financial ratios (profitability, liquidity, solvency, operational efficiency) for informed oversight.
- Analytical evaluation of historical trends, variance analysis, and predictive insights to support strategic decision-making.

2. Budgets, Forecasts, and Key Performance Indicators (KPIs)

- Understanding of budgeting processes, resource allocation strategies, and fiscal planning.
- Use of KPIs to evaluate operational efficiency, financial performance, and strategic objective attainment.
- Review of deviations from forecasts and corrective action mechanisms to ensure organizational alignment.

3. Audit Processes and Internal Controls

- Oversight of internal and external audit procedures, including scope, methodology, and reporting structures.
- Evaluation of internal controls to mitigate operational, financial, and compliance risks.
- Assessment of audit recommendations, implementation timelines, and accountability frameworks.

4. Financial Literacy Workshops

- Structured programs to enhance directors' comprehension of complex financial instruments, reporting standards, and risk assessment methodologies.
- Case-study-driven learning to contextualize financial analysis within corporate strategy and operational decision-making.

Strategic and Risk Management

1. Business Strategy, Expansion Plans, and Major Initiatives

- Review of long-term strategic roadmap, including market diversification, product innovation, and growth initiatives.
- Analysis of investment priorities, capital allocation, and potential business partnerships.
- Evaluation of organizational capabilities and alignment with market trends and competitive dynamics.

2. Risk Management Policies and Practices

- Examination of enterprise risk management frameworks covering operational, financial, regulatory, and reputational risks.
- Identification, assessment, and mitigation of high-impact risks using structured methodologies.
- Oversight of cybersecurity, data privacy, and technology-related vulnerabilities to ensure business continuity.

3. Significant Legal and Regulatory Matters

- Review of ongoing litigations, contractual obligations, and compliance-related matters impacting strategic operations.
- Assessment of potential financial, reputational, and operational consequences of legal risks.
- Formulation of proactive strategies to ensure regulatory compliance and mitigate exposure.

4. Scenario Planning & Strategic Discussions

- Engagement in scenario analysis to evaluate potential business outcomes under varying conditions.
- Structured deliberations with management to align strategic objectives with risk appetite and corporate governance principles.

Board and Committee Roles

1. Duties of Board Committees

- **Audit Committee:** Supervision of financial reporting, audit recommendations, and risk management frameworks.
- **Nomination & Remuneration Committee:** Governance of director appointments, succession planning, and executive compensation.
- **Stakeholders' Relationship Committee:** Oversight of investor relations, grievance redressal, and shareholder communication.
- **Other Committees:** Specialized committees (CSR, Risk, ESG) as per business needs to ensure comprehensive governance coverage.

2. Roles in Decision-Making and Oversight

- Critical evaluation of strategic initiatives, capital expenditures, and operational performance.
- Approval of budgets, investment proposals, and risk mitigation strategies aligned with corporate objectives.
- Ensuring effective monitoring of management actions and accountability frameworks.

3. Conflict of Interest and Related Party Transaction Monitoring

- Identification and mitigation of potential conflicts of interest in decision-making.
- Rigorous review of related-party transactions to ensure transparency, fairness, and regulatory compliance.
- Enforcement of independence principles to safeguard stakeholders' interests.

4. Board Effectiveness and Evaluation

- Adoption of structured board and committee evaluation mechanisms to assess performance, governance quality, and strategic alignment.
- Continuous development initiatives to enhance director capabilities and promote best governance practices.

Ongoing Familiarization & Support

- **Periodic Updates:** Regular briefings on industry trends, regulatory changes, corporate performance, and emerging risks.
- **Mentorship and Advisory Support:** Continuous access to senior management and governance experts for guidance and clarifications.
- **Learning Portal:** Digital access to company policies, board packs, financial reports, and corporate governance manuals.
- **External Programs:** Participation in executive education programs, conferences, and seminars on corporate governance, risk management, and compliance.

4. METHOD OF FAMILIARIZATION

The Familiarization Program for Independent Directors will be executed through a structured blend of formal induction, continuous learning, experiential exposure, and external development opportunities to ensure comprehensive understanding of the company's operations, governance, and strategic priorities. The key modalities are outlined below:

1. Induction Sessions

- Upon appointment, new Independent Directors will participate in structured induction sessions designed to provide a holistic overview of the company.
- These sessions will be conducted by key management personnel, including the CEO, CFO, functional heads, and other senior executives.
- The induction will cover organizational structure, business operations, governance framework, financial performance, strategic initiatives, and regulatory compliance requirements.
- Directors will have the opportunity to engage in interactive discussions, seek clarifications, and establish channels of communication with management for ongoing support.

2. Presentations & Workshops

- Periodic presentations and workshops will be conducted by the management team to provide updates on operational performance, strategic initiatives, risk management, and regulatory compliance.
- These sessions will include detailed briefings on financial results, budgets, forecasts, and key performance indicators, as well as emerging market trends and business challenges.
- Workshops will be designed to facilitate scenario-based learning, risk assessment exercises, and strategic discussions to strengthen directors' decision-making capabilities.

3. Board & Committee Meetings

- Independent Directors will gain practical exposure through active participation in regular Board meetings and the meetings of various Board committees (such as the Audit Committee, Nomination & Remuneration Committee, Stakeholders' Relationship Committee, and other specialized committees).
- This hands-on engagement will enable directors to understand governance processes, monitor operational and financial performance, review management proposals, and contribute to strategic decision-making.
- Meetings will also serve as a platform for directors to interact with internal auditors, external auditors, and legal advisors to reinforce their oversight responsibilities.

4. Site Visits / Business Tours

- Where appropriate, directors will be provided with opportunities to visit company facilities, manufacturing plants, research centers, or offices.
- These visits will facilitate experiential learning by providing first-hand insights into operational workflows, technology adoption, safety standards, and process efficiencies.
- Site visits will also enhance directors' understanding of operational risks, compliance practices, and the practical implementation of strategic initiatives.

5. Circulation of Materials

- Relevant materials, including the company’s policies, annual reports, management presentations, statutory and regulatory updates, and other reference documents, will be regularly circulated to directors.
- Such materials will ensure that directors remain informed about organizational developments, compliance obligations, and industry-specific regulatory changes.
- Periodic briefings will accompany circulated materials to provide context, highlight critical issues, and facilitate informed decision-making.

6. External Programs

- Directors will be encouraged to attend professional development programs, industry seminars, and regulatory workshops conducted by reputable institutions, professional bodies, or regulatory authorities.
- Participation in such programs will enhance directors’ knowledge of governance best practices, emerging trends, and sector-specific developments.
- Insights gained from external learning opportunities will contribute to more effective oversight, strategic guidance, and risk management within the company.

5. REVIEW AND REPORTING

The effectiveness of the Independent Directors Familiarization Program will be monitored and evaluated through a structured review and reporting framework to ensure that directors are adequately equipped to discharge their responsibilities under applicable laws and corporate governance best practices.

1. Periodic Board Review

- The Board of Directors shall periodically review the Familiarization Program to assess its relevance, comprehensiveness, and alignment with the evolving needs of the company and regulatory requirements.
- Feedback from Independent Directors regarding the content, format, and usefulness of the program will be considered for continuous improvement.
- The review process will also evaluate whether the program effectively enhances directors’ understanding of the company’s business, governance framework, financials, risk profile, and strategic priorities.

2. Disclosure on the Company Website

- In compliance with Regulation 46 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, the details of the Familiarization Program, including its objectives, structure, and key activities, shall be disclosed on the company’s official website.
- Attendance of Independent Directors at induction sessions, workshops, committee meetings, and other familiarization initiatives shall also be documented and made publicly accessible to promote transparency and stakeholder confidence.

3. Annual Reporting to the Board

- An annual report summarizing the familiarization activities undertaken for Independent Directors shall be placed before the Board for review.
- The report shall include details of programs conducted, participation metrics, topics covered, and any recommendations for enhancing the effectiveness of the program.
- The Board shall deliberate on the report and, if necessary, approve modifications or enhancements to the program to ensure it remains relevant and impactful.

6. EFFECTIVE DATE

This Program is effective from **03rd Day of December, 2025** and shall continue to be in force until amended by the Board.

Note: Approved in the board meeting dated December 03, 2025.

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